Decision Memo — Apple (AAPL)

To: Buy-side investment committee
As of: September 17, 2026
Decision: **Watch/defer; do not initiate at the recorded $337.00 per-share price.**

Decision basis

The five-year FCFF model returns a base enterprise value of **$1,858,504M**. Adding $146,517M of cash and marketable securities and subtracting $84,344M of commercial paper and term debt produces equity value of **$1,920,677M**, or **$131.61 per share** using 14,594.18M shares. The base case is therefore $205.39 below the recorded market price.

The base forecast uses 6% annual revenue growth, 47.0% gross margin, 15.0% operating expenses/revenue, 3.0% capex/revenue, a 9.0% WACC, and 2.5% terminal growth. A dated CAPM/market-value component build calculates 9.45%; the model uses its nearest whole-percent input and the 8%–10% grid brackets it. The build, definitions, and limitations are in `docs/wacc-build.md`. FY2026E–FY2030E FCFF rises from $107,529M to $135,781M. The terminal value is 74.9% of enterprise value, so the conclusion is highly dependent on long-run operating performance and discount-rate assumptions.

Cross-check, risks, and action

The causal low/base/high FCFF cases produce **$87.07 / $131.61 / $185.85** per share. The non-averaged P/E cross-check using qualified Microsoft and Alphabet peers yields $206.86–$239.69 per Apple share. Alphabet’s documented EV/revenue multiple is 10.7747x; it is retained as a market check, not converted into a price target because Alphabet’s advertising-led model differs materially from Apple’s ecosystem.

The main risks are that Apple sustains materially stronger revenue growth or margins than the base case, that the discount rate falls, and that terminal value is understated. Monitor Services growth, iPhone demand, Greater China, gross margin, regulatory developments, and cash-flow conversion at each earnings release.

Revisit an initiate decision only if a refreshed, reproducible model supports a higher FCFF path or the price moves into a validated valuation range without operating deterioration. The complete validation record and AI-use disclosure are in `docs/validation-and-ai-use.md`.